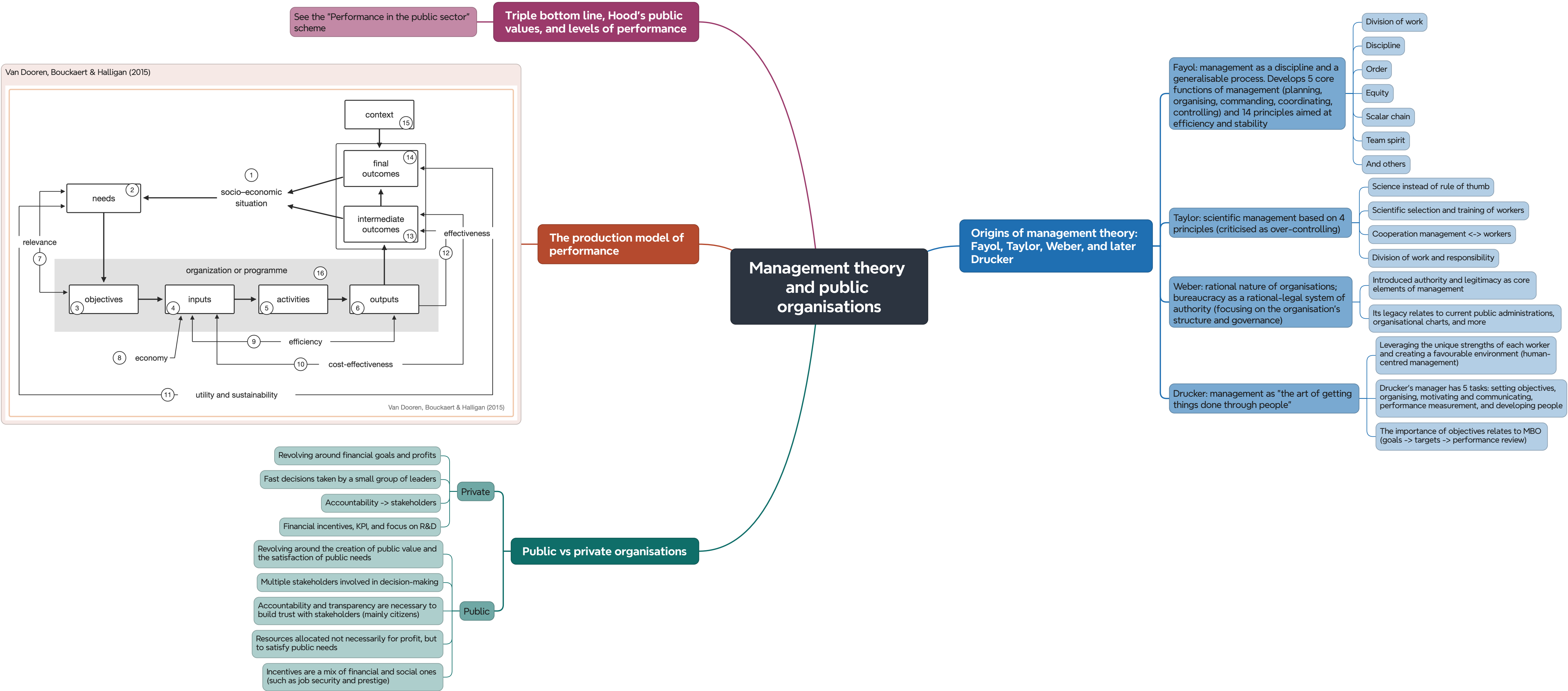
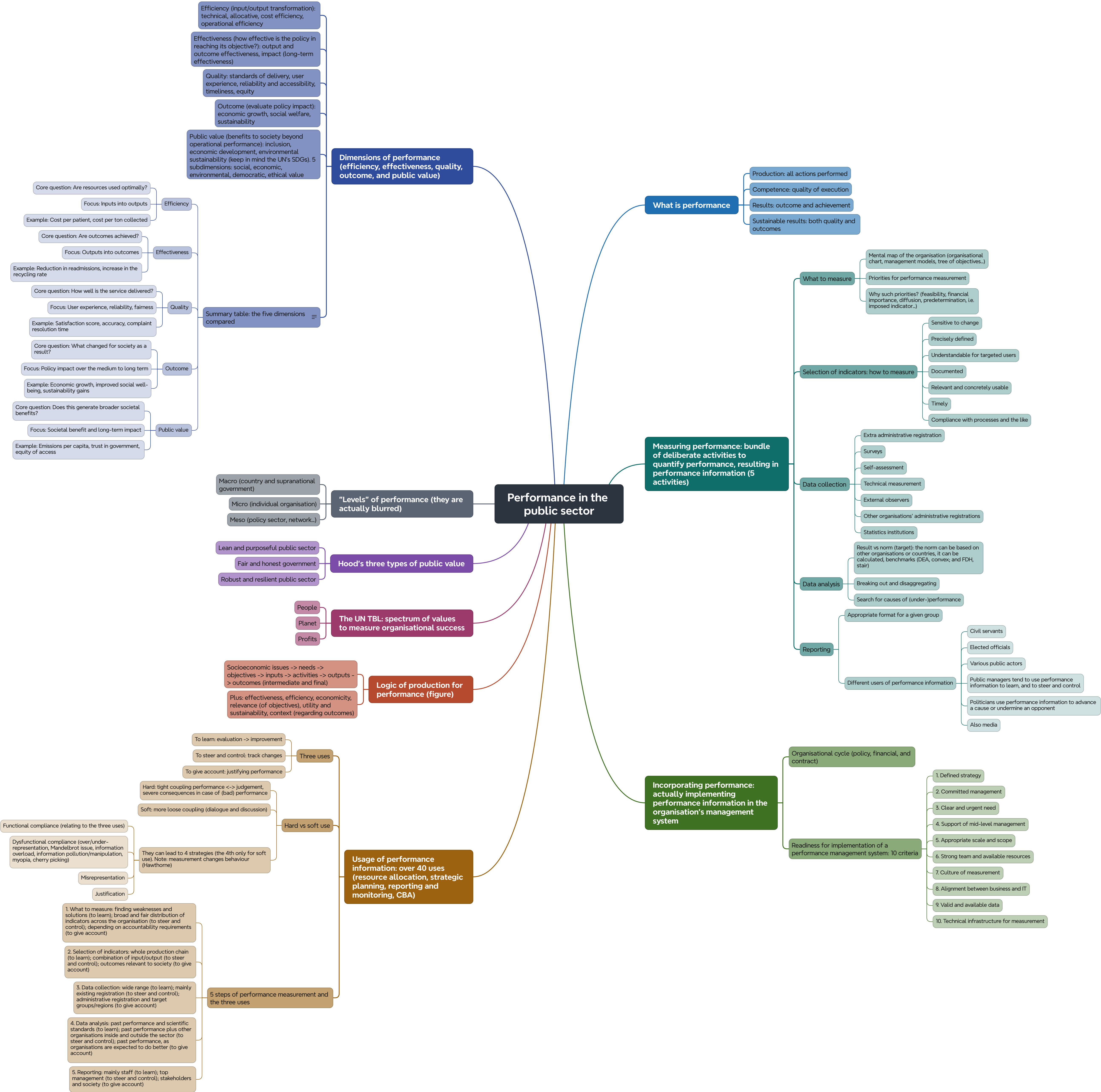






Strategic planning and strategic change cycle

Why strategic planning (although not always advisable)

- Better response to challenges (enhanced resilience)
- Gathering and analysing information to identify and frame possible choices (improved decision-making)
- Producing thoughtful judgements about missions, goals and strategies (strategic thinking)
- Effectively addressing key issues and challenges
- Learning
- Creating public value (and legitimacy)
- Being politically realistic and inclusive towards stakeholders (including internal ones)

What is strategic planning (not a strictly rigid approach)

- A deliberative, disciplined approach to producing fundamental decisions and actions shaping and guiding
 - What an organisation is
 - What it does
 - Why it does it

Entities that can adopt strategic planning

- Public agencies, departments, or divisions
- General-purpose governments (city, county, state, tribes)
- Non-profit organisations providing public services
- Entire communities

Strategic management: the reasonable integration of strategic planning and implementation across an organisation. Requires creating a strategic management system

Strategic change cycle (Bryson's 10-step process): designed to organise effective participation, create valid ideas, build a coalition supporting strategic planning, and provide guidance and resources to sustain it

1. Initiate and agree on a strategic planning process

- Negotiating agreement to start the strategic process. The agreement covers, among others
 - Purpose of the effort
 - Desired outcomes
 - Steps of the process
 - Timing, commitment of resources
 - Role and functions of the members

2. Identify organisational mandates

- By not precisely knowing its boundaries, an organisation
 - Does not do things it should, because it does not know it can
 - Believes it is more tightly constrained than it actually is
 - Believes that if it is not told to do something, it cannot do it

3. Clarify organisational mission and values

- The mission provides the justification for the organisation's existence itself (and defines its identity, purpose, desires, core values, ethics,...)
- The organisation must find ways to show its contribution to society (public value creation) to justify its existence and legitimacy (e.g. protecting human rights, maintaining a stable economy, informing public decisions)
- After that, the organisation needs to define its own boundaries (formal and informal mandates)
 - 1. Identify all mandates
 - 2. What the organisation is required to do
 - 3. What is forbidden
 - 4. What is not ruled out from the mandates
- Other useful steps are a stakeholder analysis and the scrutiny of the organisation's mission (again)

4. Assess the internal and external environment (SWOT(C))

- The organisation should explore both the internal and the external environment
- Every effective strategy takes advantage of strengths and opportunities while minimising weaknesses and threats (or overcoming them)
- A crucial tool is the SWOT(C) analysis, which helps to identify CSFs

5. Identify the strategic issues

- Fundamental policy questions or critical challenges affecting the organisation. Several types:
 - Issues that alter the organisation and its core, vs issues that do not
 - Issues requiring no action currently, but that must be monitored
 - Issues that are imminent and likely to require some action in the future (and perhaps in the present)
 - Issues that require an immediate response and cannot be handled in the ordinary activities
- The organisation's culture affects the issues agenda, and may itself become a strategic issue if it hinders their identification (every major strategy involves cultural change)
- Identification approaches
 - Direct approach: review -> identification
 - Indirect approach: brainstorming and producing new ideas that prompt change and identify issues
 - Goals approach: goals -> issues to be solved to achieve the goals
 - Vision of success approach: the gap between the vision of success and the current organisation defines the issues
 - Action-oriented strategy mapping approach: first figure out causal relationships in the organisation
 - Tensions approach: there are always four basic tensions around any strategic issue - human resources, innovation and change, maintenance of tradition, and productivity improvement. Working on these helps adopt the right framing for the issues
 - Systems analysis approach: the issue area is modelled as a system and analysed starting from there
 - Alignment approach: helps clarify gaps, conflicts and more within the organisation
- Issues are then divided into strategic and operational ones, and later ordered (priority, time, etc.)
- Additional outcomes of the identification
 - Attention is focused on issues, not answers
 - The identification prompts change
 - It provides clues about how to solve the issues
 - It makes the strategic process much more visible and real
 - This step could also trigger resistance to change and fear of it

6. Formulate strategies

- A pattern of purposes, policies, programmes, actions and decisions defining what an organisation is, what it does and why it does it

7. Review and adopt the strategic plan(s)

- An official adoption decision may be needed to proceed with implementation

8. Establish an effective organisational vision (of success)

- The organisation develops a description of what it should look like once the strategy is successfully implemented (vision of success)

10. Reassess strategies and the planning process

- Review and evaluate the strategies as a prelude to a new strategic planning round

9. Develop an implementation process

- Implementers are often different from the coalition that adopted the change, so they may have little interest in a smooth process

- The changes must be incorporated throughout the system using action plans containing, among others:
 - Implementation roles and duties of overseeing bodies
 - Expected results
 - Schedules
 - Accountability procedures
 - Resource requirements
 - Specific action steps

- Successful implementation requires the inclusion of enough champions, sponsors, resources, and personnel

Why implementation matters

- Creating a plan produces significant value (intellectual, human, social, political and civic capital), but that is not enough
- Initiatives, programmes, projects, action plans, budgets and implementation processes are what bring strategies to life
- Realised strategy is always a blend of what was intended and what emerges in practice
- Main long-term outcome is real added public value (smooth and rapid achievement of goals, plus higher stakeholder satisfaction)

Purpose and desired outcomes

- 8 subordinate desired outcomes
 - 1. Create or maintain the coalition needed to protect, support and guide implementation (size and shape vary with the change sought)
 - 2. Avoid the typical causes of failure: bad leaderships, bad policy or programme design, loss of the coalition, resistance, personnel problems, incentives that fail to induce the desired behaviour
 - 3. A clear understanding by implementers of what needs to be done, when, why and by whom
 - 4. A debugging process
 - 5. Summative evaluation, to find out whether strategic goals were actually achieved. It distinguishes:
 - Outputs (direct consequences of the change)
 - Outcomes (benefits of those outputs for stakeholders)
 - Impacts (distant, long-term, indirect effects)
 - 7. Redesigned settings that make change last (institutionalised principles, norms, rules, procedures and incentives). If the redesign is deep enough, the result is a new regime.
 - 8. Review points where strategies are maintained, significantly modified or terminated (the cycle is a series of loops, not a straight line)

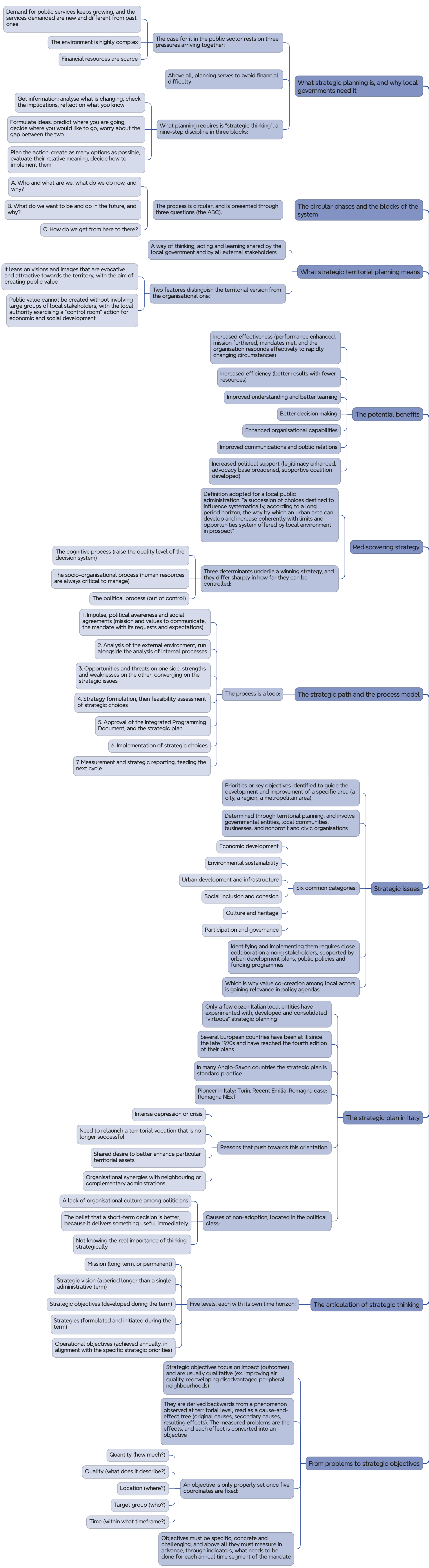
The special role of budgets

- More legitimacy and support for the leaders and organisations involved
- Higher self-efficacy, self-esteem and self-confidence (the "psychic income")
- More capacity for future action
- Three further payoffs, if public value is genuinely created
- Budget allocations have crucial, often overriding significance
- The gap between budgeting and planning has two sources
 - Politically: budgeting is short-term, incremental, reactive, focused on tracking expenditures and revenues rather than long-term
 - Structurally: planning for control and planning for action are fundamentally different (a "great divide")
- 9 suggestions
 - 1. Have strategic planning precede the budget cycle
 - 2. Gain control of the master calendar
 - 3. Build a performance budgeting system
 - 4. Treat incrementalism as opportunity, not constraint
 - 5. Pick your budget fights carefully
 - 6. Consider entrepreneurial budgeting
 - 9. Involve the same people in formulation and implementation, to bridge the action-control gap

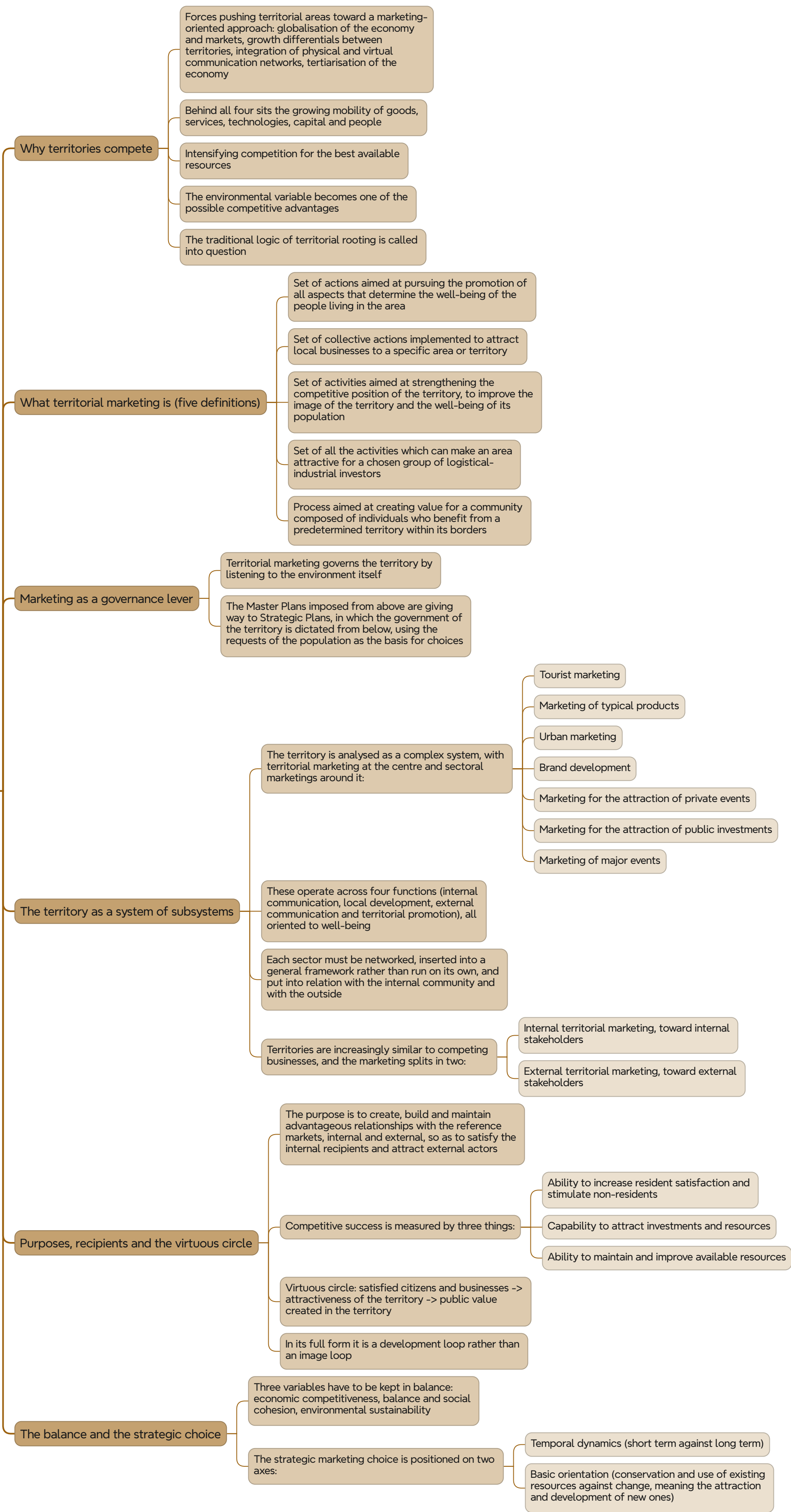
- Success depends mainly on implementation structures that coordinate and manage the work, plus a coalition of committed implementers, advocates and supportive interest groups
- These structures are formal and informal settings and mechanisms for deliberation, decision making, problem solving and conflict management

Process design and action guidelines

- 1. Plan and manage implementation strategically and deliberately
 - Implementers are often different from the coalition that adopted the change, so they may have little interest in a smooth process
 - Implementers may treat the adopted changes as a mandate (step 2)
 - Strategies vary by level (constitutive level, then grand or umbrella strategy, unit strategies, programme or project strategies)
 - Action plans need a communication process (who, how, for what purpose), a review and monitoring process, and accountability processes
- 2. Develop implementation strategy documents, key indicators and action plans
- 3. Try for changes that can be introduced easily and rapidly
- 4. Use a programme and project management approach wherever possible
- 5. Build in enough people, time, attention, money, administrative and support services (plus redundancy)
- 6. Link new strategic initiatives with ongoing operations
 - Creating new units minimises overt conflict, but under resource constraints new initiatives must compete and merge with existing operations
 - People working in existing operations must be involved directly (both for information and support, and to avoid sabotage)
- 7. Work quickly to avoid competition with new priorities (even the anticipation of a new administration paralyses change efforts)
- 8. Maintain or develop the coalition of implementers, advocates and interest groups, to protect the change over the long haul
- 9. Make sure legislative, executive and administrative policies facilitate rather than impede
- 12. Emphasise learning
- Communication and education guidelines
 - Invest in communication activities (design and use of communication networks, and of the messages and messengers in them)
- Personnel guidelines
 - Fill leadership and staff positions with highly qualified people committed to the change
 - For minor changes, systems and structures can substitute for leadership. For significant ones there is no substitute
- Direct vs staged implementation
 - Direct implementation incorporates changes at all relevant sites at the same time, staged implementation does it sequentially
 - Consider direct implementation when the situation is technically and politically simple, when immediate action is necessary in a crisis, or when the solution is "turnkey"
 - In difficult situations, consider staged implementation (two kinds)



Local strategic planning



Part two. Territorial marketing in the public sector

Part three. Unlocking value through stakeholder engagement

